

The challenge is that we might not have adequate data. For example, if the company buys back shares once in 5 years, it might be a one-off event. It might not necessarily mean anything.

Let us summarise what we have learned in this chapter:

Non-current liabilities

Long-term borrowings

Equity Side

By now, we have a good understanding of the Balance Sheet. With enough practice, we will understand the strengths and weaknesses of companies by looking at the balance sheet i.e., how financially strong or weak the business is. Equity and Non-current liabilities are extremely important as they form the capital structure. Practice it for numerous companies to understand them better.

In the next chapter, we will start the discussion on the Income Statement side of things and understand the different items in it. Here, we conclude the Balance Sheet.